

The *Mantras* For HIGH-TECH STARTUPS' SUCCESS

Dauntless! That is what defines the Indian high-tech startup ecosystem, which continued to grow through a pandemic and propelled the electronics industry to aspire for a new goal—a \$300 billion industry by FY26. Realising this ambitious goal is no mean feat as the very drivers of this goal continue to struggle to emerge out of the struggling startup stage and become an established business. Yashasvini Razdan from Electronics For You writes on how high-tech startups can steer through the challenges that come their way



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Eight years ago, on August 15, 2015, the Prime Minister of India announced a new initiative called the Startup India Campaign to catalyse startup culture and build a strong and inclusive ecosystem for innovation and entrepreneurship in India.

In the past eight years, India has grown to become the third largest ecosystem for startups after the US and China. In December 2022, the Department for Promotion of Industry and Internal Trade (DPIIT) declared that the number of startups in India has grown from 452 in 2016

to 84,012 in 2022 of which 23,773 came into being in 2022 itself.

Despite the glorious numbers, 90% of the startups fail, of which 10% fail in the first year and 70% fail between the second and third years. Many would attribute this to a lack of funding, unclear vision, and inadequate resources. Whitewashing the failure of startups using these three reasons isn't going to help. To reduce the percentage of failure one needs to dive deeper into the reasons why startups fail, especially in the high-tech sector.